

Industry ↴

974 Real Estate—Real Estate Investment Trusts

974 Real Estate—Real Estate Investment Trusts

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	974-10-05-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	974-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	974-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	974-10-50-1	Added	Accounting Standards Update No. 2023-06	10/09/2023

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-10-05-1 The Codification contains several Topics for real estate due to the differing accounting treatment for various real estate subindustries. The Topics include:

- a. Real Estate—General
- b. Real Estate—Common Interest Realty Associations
- c. Real Estate—Real Estate Investment Trusts
- d. Real Estate—Time-Sharing Activities
- e. Real Estate—Retail Land.

See also Subtopic [842-40](#) for accounting guidance for the sale of real estate that is part of a sale-leaseback transaction.

974-10-05-2 The Real Estate—Real Estate Investment Trusts Topic addresses the unique accounting and reporting issues for real estate investment trusts. This Topic includes the following Subtopics:

- a. Overall
- b. Investments—Equity Method and Joint Ventures
- c. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- cc. Other Expenses
- d. Consolidation
- e. Interest
- f. Leases.

> Tax Considerations

974-10-05-3 The tax considerations included here represent an understanding of the Internal Revenue Code requirements and practices at the time that the accounting and reporting standards were initially issued. The Financial Accounting Standards Board (FASB) assumes no responsibility for the accuracy of the tax guidance included here.

974-10-05-4 A [real estate investment trust](#), if it so elects, will not be required to pay federal corporate income taxes (other than that on tax preference items) if, among other things, at least 90 percent of its taxable income, as defined, is distributed to its shareholders. This Subtopic, however, is not restricted to those real estate investment trusts that have elected such tax treatment.

15 Scope and Scope Exceptions

 **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

974-10-15-1 The Subtopics within the Real Estate—Real Estate Investment Trusts Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

974-10-15-2 The guidance in this Topic applies to all [real estate investment trusts](#). The accounting issues discussed in this Topic may also be encountered by other entities which are not real estate investment trusts but which are engaged in the business of making loans on or investing in real estate. The conclusions in this Topic may, therefore, also be appropriate for those entities. However, the accounting practices of entities that are not real estate investment trusts are beyond the scope of this Topic.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Real Estate Investment Trust](#)

Real estate investment trusts generally are formed as trusts, associations, or corporations. They employ equity capital, coupled with substantial amounts of debt financing, in making real estate loans

and investments. Real estate investment trusts must distribute substantially all of their taxable income to their shareholders annually in order to retain their favorable tax status (that is, dividends paid are treated as deductions in arriving at taxable income).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

974-10-50-1

 PENDING CONTENT



Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)
For annual reporting periods, an entity shall disclose the tax status of distributions per unit (for example, ordinary income, capital gain, and return of capital).

S00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-10-S00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
974-10-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Income Statement Presentation

974-10-S45-1 See paragraph [974-10-S99-1](#), Regulation S-X Rule 3-15(a)(1), for income statement presentation requirements for real estate investment trusts.

> Balance Sheet Presentation

974-10-S45-2 See paragraph [974-10-S99-1](#), Regulation S-X Rule 3-15(a)(2), for balance sheet requirements for real estate investment trusts.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Disclosures

974-10-S50-1 See paragraph [974-10-S99-1](#), Regulation S-X Rule 3-15, for disclosure requirements for real estate investment trusts.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 3-15, Special Provisions as to Real Estate Investment Trusts

974-10-S99-1 The following is the text of Regulation S-X Rule 3-15, Special Provisions as to Real Estate Investment Trusts (17 CFR 210.3-15).

(a)-(b) [Reserved]

(c) The tax status of distributions per unit shall be stated (e. g., ordinary income, capital gain, return of capital).

[45 FR 63687, Sept. 25, 1980, as amended at 50 FR 49532, Dec. 3, 1985, 83 FR 50199, Oct. 4, 2018]

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323 Investments—Equity Method and Joint Ventures

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-323-00-1	The following table identifies the changes made to this Subtopic.		
	Paragraph	Action	Accounting Standards Update
	974-323-25-1	Amended	Accounting Standards Update No. 2016-01
			Date
			01/05/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-323-05-1	This Subtopic addresses recognition and measurement issues for investments of real estate investment trusts , including the accounting for related service corporations .
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15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

974-323-15-1	This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 974-10-15 , with specific exceptions noted below.
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> Entities

974-323-15-2 The guidance in this Subtopic applies to the following entities:
a. [Service corporations](#) that are not variable interest entities (VIEs).

974-323-15-3 The guidance in this Subtopic does not apply to the following entities:
a. Service corporations that are VIEs (see the Variable Interest Entities Subsections of Section [810-10](#)).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Real Estate Investment Trust](#)

Real estate investment trusts generally are formed as trusts, associations, or corporations. They employ equity capital, coupled with substantial amounts of debt financing, in making real estate loans and investments. Real estate investment trusts must distribute substantially all of their taxable income to their shareholders annually in order to retain their favorable tax status (that is, dividends paid are treated as deductions in arriving at taxable income).

[Service Corporation](#)

A real estate investment trust may establish a service corporation to perform services for the real estate investment trust or for third parties. Service corporations may provide property management and leasing services, as well as services to acquire, develop, construct, finance, or sell real estate projects.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Service Corporations

- 974-323-25-1** The existence of some or all of the following factors indicates that the [real estate investment trust](#) has the ability to exercise at least significant influence over the [service corporation](#) and that, accordingly, the real estate investment trust should either account for its investment under the equity method or should consolidate the investee.
- The service corporation performs activities primarily for the real estate investment trust.
 - Substantially all of the economic benefits in the service corporation flow to the real estate investment trust.
 - The real estate investment trust has the ability to designate a seat on the board of directors of the service corporation.
 - The real estate investment trust and the service corporation have common board members.
 - The real estate investment trust and the service corporation have common officers, employees, or both.
 - The owners of the majority voting stock of the service corporation have not contributed substantial equity to the service corporation.
 - The views of the real estate investment's management influence the operations of the service corporation.
 - The real estate investment trust is able to obtain financial information from the service corporation that is needed to apply the equity method of accounting to its investment in the service corporation.
- The determination of whether the real estate investment trust should use the equity method of accounting for its investment in the service corporation or consolidate the service corporation in its financial statements should be based on facts and circumstances.

974-323-25-2 [Paragraph not used.](#)

974 Real Estate—Real Estate Investment Trusts

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Real Estate Investment Trust	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
974-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
974-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
974-605-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
974-605-25-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
974-605-25-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
974-605-25-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
974-605-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
974-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

974-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- i Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

- ① **General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- ① **General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

974-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

974-605-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

45 Other Presentation Matters

- ① **General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

974-605-45-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

974-605-50-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

974 Real Estate—Real Estate Investment Trusts

720 Other Expenses

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-720-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Real Estate Investment Trust	Added	Accounting Standards Update No. 2014-09	05/28/2014
974-720-05-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
974-720-15-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
974-720-25-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
974-720-25-2	Added	Accounting Standards Update No. 2014-09	05/28/2014

974-720-45-1

Added [Accounting Standards Update No. 2014-09](#) 05/28/2014

974-720-50-1

Added [Accounting Standards Update No. 2014-09](#) 05/28/2014

05 Overview and Background

- General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-720-05-1 This Subtopic addresses recognition, disclosure, and other presentation matters for [real estate investment trusts](#).

15 Scope and Scope Exceptions

- General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

974-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [974-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Real Estate Investment Trust

Real estate investment trusts generally are formed as trusts, associations, or corporations. They employ equity capital, coupled with substantial amounts of debt financing, in making real estate loans and investments. Real estate investment trusts must distribute substantially all of their taxable income to their shareholders annually in order to retain their favorable tax status (that is, dividends paid are treated as deductions in arriving at taxable income).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Operating Support of the Real Estate Investment Trust by the Adviser

974-720-25-1 Various methods are employed by advisers to ensure a certain return to the [real estate investment trust](#) for certain periods. Some of these methods are:

- a. Purchasing a loan or a property at an amount in excess of fair value
- b. Forgiving indebtedness
- c. Reducing advisory fees
- d. Providing required compensating balances
- e. Making outright cash payments.

974-720-25-2 Accounting by a real estate investment trust for operating support from its adviser would include either of the following:

- a. Adjustment of any assets (or liabilities) which will be transferred between the entities to fair value as of the date of the transaction
- b. Recognition, as income or as a reduction of advisory fees, of the operating support effectively obtained.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Operating Support of the Real Estate Investment Trust by the Adviser

974-720-45-1 The effect of the operating support transactions described in paragraphs [974-720-25-2](#) and [974-720-50-1](#) shall be reported separately in the income statement.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Operating Support of the Real Estate Investment Trust by the Adviser

974-720-50-1 A [real estate investment trust](#) with operating support from its adviser shall make full disclosure of the relationship between the parties and the nature and amount of the transactions.

974 Real Estate—Real Estate Investment Trusts

810 Consolidation

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-810-00-1 No updates have been made to this Subtopic.

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-810-05-1 This Subtopic addresses measurement issues concerning the treatment of [noncontrolling interest](#) in certain [real estate investment trusts](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

974-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [974-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Noncontrolling Interest](#)

The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.

Real Estate Investment Trust

Real estate investment trusts generally are formed as trusts, associations, or corporations. They employ equity capital, coupled with substantial amounts of debt financing, in making real estate loans and investments. Real estate investment trusts must distribute substantially all of their taxable income to their shareholders annually in order to retain their favorable tax status (that is, dividends paid are treated as deductions in arriving at taxable income).

Service Corporation

A real estate investment trust may establish a service corporation to perform services for the real estate investment trust or for third parties. Service corporations may provide property management and leasing services, as well as services to acquire, develop, construct, finance, or sell real estate projects.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

974-810-30-1 Paragraph not used.

974-810-30-2 Paragraph not used.

974-810-30-3 Paragraph not used.

974-810-30-4 Paragraph not used.

974-810-30-5 Paragraph not used.

> Service Corporations

974-810-30-6 See Section [974-323-25](#) for the accounting used by a real estate investment trust for its investment in a [service corporation](#).

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

974-810-35-1 Paragraph not used.

974-810-35-2 Paragraph not used.

974-810-35-3 Paragraph not used.

974-810-35-4 Paragraph not used.

974-810-35-5 Paragraph not used.

974 Real Estate—Real Estate Investment Trusts

835 Interest

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-835-05-1 This Subtopic addresses measurement issues related to interest revenue on loans held by [real estate investment trusts](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

974-835-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [974-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Real Estate Investment Trust

Real estate investment trusts generally are formed as trusts, associations, or corporations. They employ equity capital, coupled with substantial amounts of debt financing, in making real estate loans and investments. Real estate investment trusts must distribute substantially all of their taxable income to their shareholders annually in order to retain their favorable tax status (that is, dividends paid are treated as deductions in arriving at taxable income).

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Discontinuance of Interest Revenue Recognition

- 974-835-35-1** The recognition of interest revenue on loans made by [real estate investment trusts](#) shall be discontinued when it is not reasonable to expect that the revenue will be received. Also, certain conditions should be regarded as establishing a presumption (which may be overcome if other facts clearly refute the presumption) that the recording of interest shall be discontinued, including any of the following:
- Payments of principal or interest are past due.
 - The borrower is in default under the terms of the loan agreement.
 - Foreclosure proceedings have been or are expected to be initiated.
 - The credit-worthiness of the borrower is in doubt because of pending or actual bankruptcy proceedings, the filing of liens against his assets, and so forth.
 - Cost overruns or delays in construction cast doubt on the economic viability of the project.
 - The loan has been renegotiated.
- These conditions may also be an indication that an allowance for losses should be provided.
- 974-835-35-2** The discontinuance of interest revenue recognition is related to the question of realization and, consequently, such recognition shall not be resumed, nor shall unrecorded interest be recognized, until it is evident that the principal and interest will be collected.
- 974-835-35-3** Since interest recognition is discontinued because realization is doubtful, it is not appropriate to include such amounts in interest revenue in the financial statements because such a presentation contradicts economic reality.

974 Real Estate—Real Estate Investment Trusts

840 Leases

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-840-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Real Estate Investment Trust	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Service Corporation	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	974-840-05-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	974-840-15-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	974-840-25-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-840-05-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some

cases, the Section may contain definitional or other text to frame the scope.

General

974-840-15-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

974-840-25-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

974 Real Estate—Real Estate Investment Trusts

842 Leases

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

974-842-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2016-02	02/25/2016
Initial Direct Costs	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Real Estate Investment Trust	Added	Accounting Standards Update No. 2016-02	02/25/2016
Service Corporation	Added	Accounting Standards Update No. 2016-02	02/25/2016
974-842-05-1	Added	Accounting Standards Update No. 2016-02	02/25/2016
974-842-15-1	Added	Accounting Standards Update No. 2016-02	02/25/2016
974-842-25-1	Added	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

974-842-05-1 This Subtopic addresses recognition issues for a [real estate investment trust](#) with an investment in a [service corporation](#) providing leasing services.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

974-842-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [974-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Initial Direct Costs

Incremental costs of a [lease](#) that would not have been incurred if the lease had not been obtained.

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Real Estate Investment Trust

Real estate investment trusts generally are formed as trusts, associations, or corporations. They employ equity capital, coupled with substantial amounts of debt financing, in making real estate loans and investments. Real estate investment trusts must distribute substantially all of their taxable

income to their shareholders annually in order to retain their favorable tax status (that is, dividends paid are treated as deductions in arriving at taxable income).

Service Corporation

A real estate investment trust may establish a service corporation to perform services for the real estate investment trust or for third parties. Service corporations may provide property management and leasing services, as well as services to acquire, develop, construct, finance, or sell real estate projects.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

974-842-25-1 Regardless of the method of accounting used by a [real estate investment trust](#) for its investment in a [service corporation](#), the service corporation shall not be considered an independent third party and the amount of costs capitalized by the real estate investment trust for leasing services provided by the service corporation shall be no greater than the amount of [initial direct costs](#) (see paragraphs [842-10-30-9 through 30-10](#)) that would have been capitalized had the real estate investment trust incurred the costs directly.